Chapter 2

Creativity, Innovation and MVP

Definition

- ✓ Creativity refers to the process of devising a new idea, or thing that result in the improved efficiency or effectiveness of a system.
- ✓ Innovation means improving an existing idea or thing. Commercializing of an idea or turning idea into an opportunity.
- ✓ Innovation builds on creativity when something new, tangible and value-creating is developed from the ideas.
- ✓ Innovation turns new concepts into realities, creating wealth and power.
- ✓ Creative destruction occurs when innovations make long-standing arrangement obsolete and frees resources to be employed else where leading to greater economic efficiency.

  E.g. computerization.

Reasons for Opposing Innovation

i) The entrepreneurs tend to have a practical concern that unforeseen innovation may cause a disaster e.g. side effects e.g. of a drug.

ii) Fear of losing profits in the event innovation does not translate to the expectations.

iii) Where the entrepreneur held a monopoly position in the market, there is fear of losing authority and control.

iv) Fear of upsetting the moral and social value of demand for the product. v) Desire to preserve the existing market confidence vi)Fear of upsetting tradition in production management and market scope.

vii) Fear of opening a loophole to competition hence loss of business grip.

Reasons for Innovation

- ✓ Innovation is essential for the entrepreneur in solving the inefficiency problems.
- ✓ As a means of cost reduction and imposing significance social and market grip.
- ✓ Profit improvements are looked at from the innovation point of view though newer technology in management and production.
- ✓ To encounter competition by already established businesses.
- ✓ To facilitate opening up of new markets both locally and internationally.
- ✓ To facilitate diversification of products risks and losses.üTo protect current position of monopoly or success.

Requirements of Innovation

- Economic demand

  People engage in innovation out of belief that the economic returns will be greater than its costs.
- Surplus capital

  Provides the necessary time and startup costs for implementing a new idea.
- Ability to assemble and invest capital.
- Mobile Capital which is stable.

  Capital cannot serve unless it can move to potential innovator unless it can move to allow the various types of wealth to be created e.g. title deeds –stability is provided by a rule of law.
- Availability of growth- fostering social institutions which facilitate the speed of technological advancement.

- Ability and willingness to think and act creativity (Entrepreneurs) I.e. the philosophical and psychological requirements.
- Geographical and other circumstantial causes such as ethical issues.

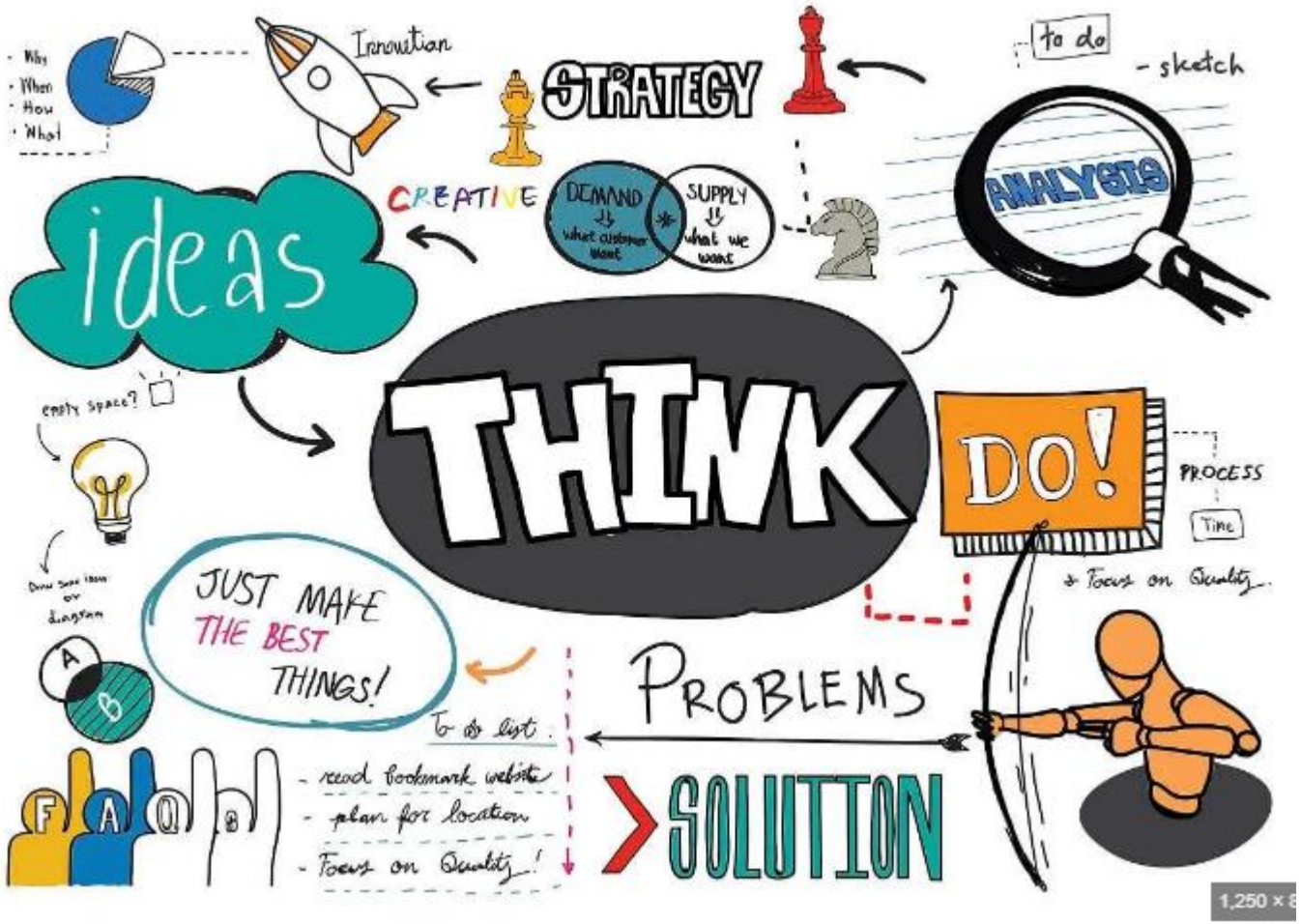
  Societies in which innovation is seen as a sinful or people are punished or are shunned to think differently than others are unlikely to experience innovation.

- The size of the firm.

  Large firms have the advantage of introducing innovation since they can afford it.

  They tend to attract more talents employees to advice on new ideas.

Sources of new business ideas and tools for idea generation



IDEA GENERATION

Why is idea generation important for business?

Idea generation involves making, initiating, and disseminating theoretical, palpable, and perceptible ideas.

Generating new business ideas can be an exciting yet challenging process. Here are some effective methods to inspire creativity and innovation:

1. Identify Problems and Pain Points

Observation: Pay attention to everyday challenges people face in various industries.

Surveys and Interviews: Collect feedback from potential customers to understand their needs and frustrations.

2. Market Research

Trend Analysis: Study market trends, emerging technologies, and consumer behavior to identify gaps in the market.

Competitor Analysis: Examine competitors to see what they are doing well and where they might be lacking.

3. Brainstorming Sessions

Group Brainstorming: Gather a diverse group of people to generate ideas collectively. Use techniques like mind mapping to visualize connections.

Reverse Brainstorming: Instead of focusing on how to solve a problem, think about how to create or worsen it, which can lead to innovative solutions.

4. SCAMPER Technique

Substitute: What can be replaced or improved?

Combine: What products or services can be merged?

Adapt: How can existing solutions be adapted for different uses?

Modify: What can be altered or enhanced?

Put to Another Use: Can the product be used in a different way?

Eliminate: What can be removed or simplified?

Rearrange/Reverse: What can be reordered or reversed?

5. Creative Thinking Techniques

Mind Mapping: Create a visual representation of ideas to explore connections and generate more concepts.

Role-playing: Step into the shoes of different stakeholders to see problems from various perspectives.

6. Networking and Collaboration

Join Entrepreneurial Communities: Engage with other entrepreneurs, attend meetups, and participate in workshops.

Collaborate with Others: Partner with individuals from different fields to combine skills and insights.

7. Use Technology and Data

Analytics: Use data analytics tools to identify trends and consumer preferences.

Social Media Listening: Monitor social media platforms to gauge public sentiment and emerging discussions.

8. Experimentation and Prototyping

MVP Development: Create a Minimum Viable Product (MVP) to test ideas quickly in the market.

A/B Testing: Experiment with different versions of a product or service to see which resonates better with customers.

9. Inspiration from Other Industries

Cross-Industry Innovation: Look at successful business models in unrelated sectors and consider how they might be adapted to your industry.

10. Personal Interests and Passions

Leverage Your Skills: Consider your own hobbies, interests, and professional skills as potential sources for business ideas.

The 3 Types of Innovation: Product, Process, & Business Model

The three types of innovation are product, process, and business model:

Business model innovation

Involves redefining existing products and services to add value for customers, while supporting the organization's mission.

Process innovation

Involves changing how a product or service is produced or delivered to a customer. This can include using new technologies or methods for production, advertising, or delivery.

Product innovation

Involves improving a product's performance or attributes, or using different components than previous products. This is probably the most common type of innovation.

Other types of innovation include:

Service innovation

Involves improving the quality and value of services delivered to customers.

Architectural innovation

Involves changing a product's architecture without changing its fundamental components.

Disruptive innovation

Involves launching a new product, service, concept, or business model that creates a new market segment.

Marketing innovation

Involves using new strategies or methods for product design, packaging, promotion, price, or channels.

Incremental innovation

Involves making minor changes or small improvements to an existing product or process.

Organizational innovation

Involves creating and adopting new organizational structures, processes, and practices.

Product Innovation

Product innovation is a crucial process in any business that aims to maintain its competitive edge in the market. Product innovation involves creating and developing new products or services that meet customers' changing needs and preferences.

Product innovation can be as straightforward as adding a new feature to an existing product or service or as difficult as developing a completely new one. This kind of innovation aims to improve customers' lives by finding a novel or unexpected solution to a problem. Various factors, such as new technology, shifting consumer demands, and antiquated designs, influence product innovation.

Here are some steps involved in product innovation.

- **Identify customers' needs**: This involves understanding what customers want, their problems, and their unmet needs.
- **Idea generation**: Once customer needs are identified, the next step is idea generation. This involves brainstorming and developing new product ideas that address customer needs.
- **Select ideas**: After generating ideas, the next step is selecting the most promising ideas for further development. This involves evaluating the arguments based on various criteria, such as market potential, feasibility, and strategic fit.
- **Product development**: It involves creating prototypes and testing them with customers to get feedback and refine the product concept.
- **Launch product**: Finally, the product is launched into the market, and its success is monitored and evaluated.

Process Innovation

Process innovation involves improving an organization's operations by identifying and implementing new and improved processes. Process innovation can help organizations reduce costs, increase efficiency, improve quality, and enhance customer satisfaction.

To successfully manage process innovation, organizations need to have a solid understanding of process management. This involves identifying key processes, analyzing them, and developing process improvement initiatives, monitoring performance, and measuring the impact of process changes. Innovation management courses can help organizations have a solid understanding of process management.

Process innovation can be achieved through various methods, such as process re-engineering, process automation, and process optimization.

- Process re-engineering involves completely overhauling and redesigning existing processes to eliminate inefficiencies and improve effectiveness.
- Process automation involves the use of technology to automate manual processes, reducing the risk of errors and increasing speed and efficiency.
- Process optimization involves identifying and making incremental improvements to existing processes to enhance efficiency and effectiveness.

Business Model Innovation

Business model innovation is creating, modifying, or improving how a business generates revenue and creates value for its customers. Business model innovation can provide several benefits to organization's, such as increased revenue, enhanced customer satisfaction, and improved operational efficiency.

A business model innovation is concerned with an organization's total change. The organization's mission is supported by concept development. It also outlines a fresh approach to adding value for customers by redefining existing goods and services rather than developing new ones.

Any company seeking success through the development of new business models should concentrate on the following:

- Providing customers with distinctive values
- Getting the materials required to deliver the value promise.
- Choosing the crucial procedures needed to provide the value proposition

To successfully manage business model innovation, organizations need to have a solid understanding of their current business model and the market environment in which they operate. Executive programs in innovation management can help organizations have a solid business model innovation.

Value proposition and minimum viable product (MVP)

- A minimum viable product, or MVP, is a product with enough features to attract early-adopter customers and validate a product idea early in the product development cycle. In industries such as software, the MVP can help the product team receive user feedback as quickly as possible to iterate and improve the product.

MVP

BUILD - MEASURE - LEARN

BUILD

MEASURE

LEARN

A minimum viable product (MVP) is a simplified version of a product that has enough features to meet basic user needs and gather feedback. MVPs are a fundamental principle in product management and operations. They are based on the lean startup methodology, which encourages learning and building with scalability in mind.

Here are some key aspects of MVPs:

Purpose

- MVPs are designed to test how the market reacts to an idea before building the complete product. They help businesses:
- Validate product ideas
- Engage early adopters
- Refine monetization strategies
- Reduce time-to-market
- Deliver value to early adopters
- Collect user behavior data
- Grow a pre-launch user base

Characteristics

- MVPs have the following characteristics:
- They have just enough features to satisfy early customers
- They provide feedback for future development
- They are affordable to produce and replicate
- They distill a main idea and make it obvious to potential users
- They solve a problem or add value to the user's life
- They are adaptable, leaving room for future design builds

Process

- To create an MVP, you can:
- Define your core value proposition
- Identify the core problem your product aims to solve
- Determine the unique value your product offers
- Conduct market research

The primary goals and purposes of an MVP include:

- **Market Validation:** An MVP allows businesses to test their product ideas in the real market environment. By releasing a basic version of the product and observing how users interact with it, businesses can validate whether there is genuine demand for the product.
- **Reduced Time to Market:** Developing a full-featured product can be time-consuming. An MVP enables a quicker time to market by focusing on essential features, allowing the business to establish a presence and start gaining user feedback sooner.
- **Cost Efficiency:** Building a complete product with extensive features requires significant resources. Developing an MVP is a cost-effective approach, as it minimizes initial development costs and reduces the risk of investing heavily in a product that may not succeed.
- **Feedback Collection:** The release of an MVP provides an opportunity to collect valuable feedback from early users. This feedback is crucial for understanding user preferences, identifying potential issues, and making informed decisions for future development.
- **Iterative Development:** An iterative development process is encouraged by the MVP approach. Based on user feedback and market response, the product can be improved and expanded in subsequent iterations. This iterative approach ensures that the product evolves to better meet user needs over time.

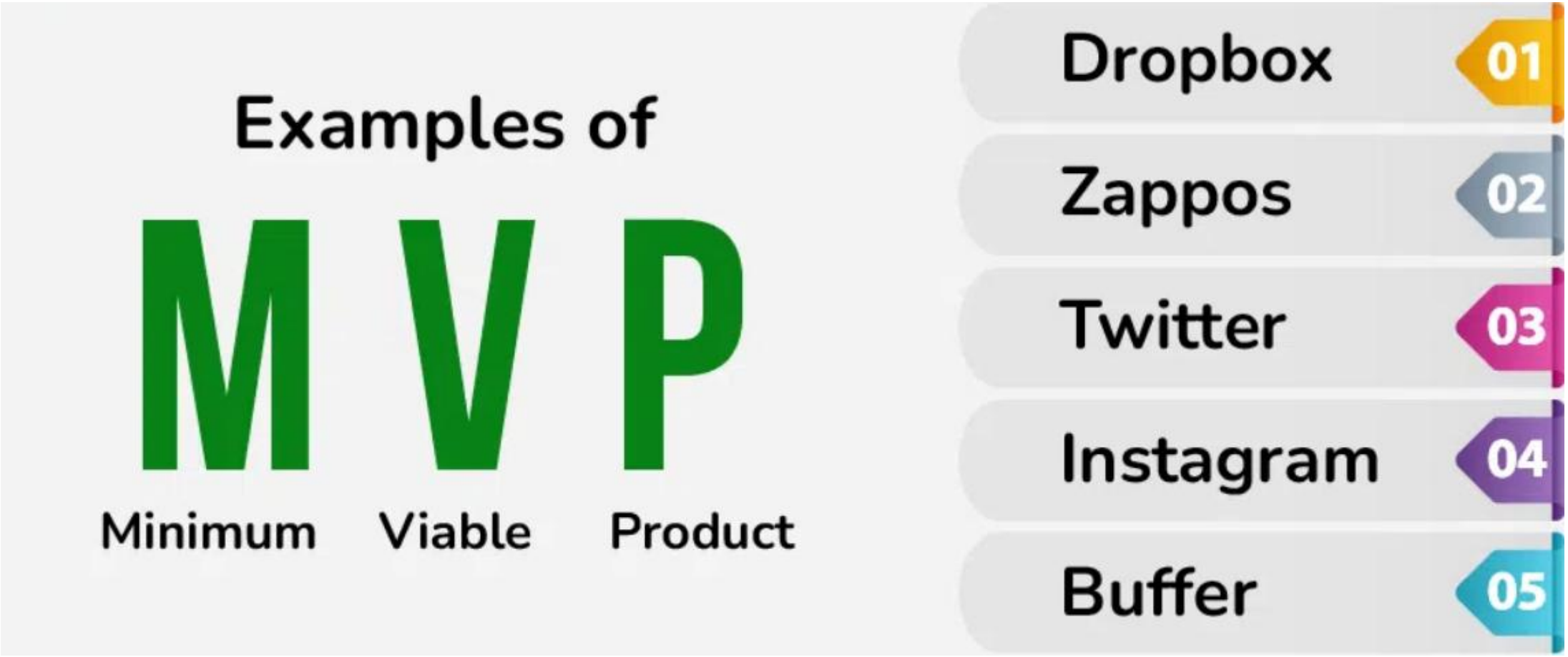
Types of MVP(Minimum Viable Product)

- There are several types of Minimum Viable Products (MVPs), each serving different purposes and stages of product development:
- **High-fidelity MVP:** Although a high-fidelity MVP has few features, it offers an interface that is very interesting to use.
- **Low-fidelity MVP:** it has a very simple user interface.
- **Single-feature MVP:** as name suggests, it has only one feature.
- **Concierge MVP:** Instead of having an automated procedure like in a full-fledged software solution, a concierge MVP uses a human (or human team) to execute tasks.
- **Piecemeal MVP:** An incomplete MVP connects to external services and programmers to complete certain functions that will eventually be handled by the app itself.
- **Digital MVP**: It allows for rapid iteration and testing of key hypotheses with real users.
- **Hybrid MVP:** combines components from several MVP kinds to develop a unique strategy that is most appropriate for the target market and the particular requirements and objectives of the product.

How Do You Define Your Minimum Viable Product?

- **Identify Core Features**: Determine the essential features and functionalities that are necessary to deliver the core value proposition of your product. Focus on addressing the most critical pain points or needs of your target audience.
- **Set Objectives**: Define clear objectives and goals for your MVP, including what you aim to achieve with its release. This could include validating key hypotheses, gathering feedback, or acquiring initial users.
- **Define Scope and Timeline**: Clearly define the scope of your MVP, including what features will be included and what will be excluded. Set a realistic timeline for development and release, considering resource constraints and market dynamics.
- **Launch and Measure**: Once your MVP is developed, launch it to your target audience and start measuring its performance against your predefined success metrics. Monitor user engagement, feedback, and other relevant metrics to assess the effectiveness of your MVP.

What are Examples of the Minimum Viable Product?



Here are a few examples of Minimum Viable Product (MVP):

Product	How are they Launched?	Results
Dropbox	Released a video demonstration	Over 75,000 sign-ups overnight; validated demand for cloud storage
Zappos	Created a simple website with images from local shoe stores	Sold shoes directly from the site and proved people were willing to buy shoes online

Product	How are they Launched?	Results
Twitter	Launched as a side project at a podcasting company	Gained popularity during the 2007 SXSW conference, leading to increased user engagement and growth
Instagram	Started as a photo and check-in app called burbn	Pivoted to focus exclusively on photos after noticing users loved the photo-sharing feature; rapid user growth
Buffer	Released a landing page with the product idea	Collected email sign-ups to gauge interest; received overwhelming positive response and user feedback

Assignment 2

- What is Creativity and Innovation ?
- Explain Requirements of Innovation.
- Explain three types of innovation: Product, Process, & Business Model.
- Why is idea generation important for business?
- How Do You Define Your Minimum Viable Product? Explain with example.